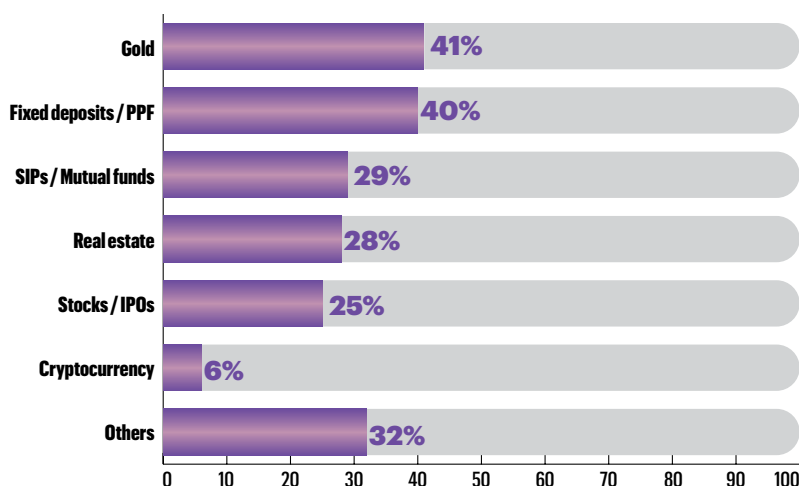


THE PATTERN

● Gold, fixed deposits, MFs lead Gen Z investment choices



SOURCE BT-PRICE GENZ CONSUMPTION BEHAVIOUR SURVEY

164 |

old finds bullion, especially silver, an interesting prospect but not because of the surging price of the metal. “It is because of fundamentals, the shortage of physical silver,” he says.

Mishra says he has made some investments in cryptos in the past and enjoyed the initial returns. But mounting losses amid geopolitical flare-ups made him pivot. A Gen Z Consumption Behaviour Survey of 4,300 respondents across 12 cities by PRICE underscores the inference of investment advisors like Mondal about the behaviour of Gen Z investors.

SURVEY FINDINGS

Some 40-41% of Gen Z investors prefer owning gold and fixed deposits (FDs), shows the survey. Among them, 47-48% of the participants, who are government employees, prefer FDs and gold. But

37-39% of privately employed individuals also prefer the traditional assets, highlighting the continued relevance of such products even among young earners perceived to be more amenable to risk.

Wealth preservation remains central to their thinking, the data on respondents aged 18-29 years suggests. Despite Gen Z growing up in a Digital-First environment, crypto currency investments remain only a marginal preference. Only 6% respondents suggest a preference for crypto investments, which did attract 19% of the respondents with education below primary levels.

Asset-building, typically real estate, appears to be gaining traction as participants climb up the income strata. A total of 68% respondents earning ₹15 lakh and above show a preference for real estate investments; 29% prefer Mutual Fund

(MF) investments through SIPs and 25% like to dabble in stocks directly.

Abhishek Kumar, an investment advisor at financial planner SahajMoney, says the behaviour is reflective of a broader transition. Gen Z is navigating a middle path between the caution of earlier generations and the tendency of global peers to experiment and take risks, he says.

Their portfolio preferences suggest an attempt to hedge against inflation through equity exposure while preserving purchasing power through gold alongside fixed-income investments.

“This generation does not view gold as ‘jewellery’ but as a ‘digital safe haven.’ The rise in digital gold and SGBs (sovereign gold bonds) shows they value stability but want the convenience of a digital transaction. The shift away from crypto suggests a maturing mindset,” says Mondal.

DEMOGRAPHIC VARIATIONS

The survey highlights clear demographic variations. Metro respondents show a higher inclination towards MF investments via SIPs, with 30% preferring the avenue compared with 27% in Tier-II cities. Tier-II respondents show a stronger preference for gold, with 44% favouring the precious metal and 43% going for FDs. Male respondents lean more towards equities and real estate; 51% of women show a stronger preference for gold.

Education continue to shape investment choices. Post-graduates show a higher preference for gold, FDs (51% each, MFs and real estate (40% each). In comparison, respondents with lower education levels show a lesser preference for majority asset classes barring cryptos.